19 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

US equities closed lower as renewed selling in tech stocks weighed on sentiment, with the Nasdaq recording its weakest week since June. Asian markets recovered some ground on Friday but remained broadly weaker over the week.

Markets pared expectations for an October Fed hike following limited guidance from Chair Kevin Warsh which saw the 2-year Treasury yield move lower. Yields on European and Australian government bonds were little changed.

The USD softened, while the Australian dollar outperformed against the greenback. Moves elsewhere were more subdued.

Oil surged to a five-month high as escalating Middle East tensions and threats to key energy infrastructure heightened concerns over potential supply disruptions. Brent briefly touched US$110/bbl, while gold was little changed and base metals edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.4	-0.3%
AUD/USD	0.6969	0.7%
AUD/JPY	110.17	0.7%
AUD/GBP	0.5233	0.4%
AUD/NZD	1.2309	0.0%
AUD/EUR	0.6232	1.0%
AUD/CNH	4.6597	0.7%
AUD/SGD	0.8919	0.5%
AUD/HKD	5.4692	0.7%
AUD/CAD	0.9848	0.3%
EUR/USD	1.1184	-0.3%
USD/JPY	158.05	0.0%
USD Index	101.84	-0.2%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.62	-0.01
90 day BBSY	4.81	-0.03
180 day BBSY	5.17	-0.04
1 year swap	4.89	0.03
2 year swap	4.89	0.06
3 year swap	4.88	0.07
4 year swap	4.90	0.06
5 year swap	4.94	0.05
6 year swap	4.99	0.06
7 year swap	5.04	0.06
8 year swap	5.09	0.05
9 year swap	5.13	0.06
10 year swap	5.18	0.05

Equities	Close	Change
S&P/ASX 200	8,807	1.0%
S&P 500	7,659	-1.1%
Japan Nikkei	65,324	1.4%
Hang Seng	24,187	0.5%
Euro Stoxx 50	6,204	0.6%
UK FTSE100	10,882	0.4%
VIX Index	19.99	21.4%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.84	0.03
10 year bond	5.23	0.02
United States		
3-month T Bill	4.06	-0.03
2 year bond	4.71	-0.03
10 year bond	5.07	0.01
Other (10 year yields)		
Germany	3.43	0.01
Japan	2.93	0.03
UK	5.37	0.00

Commodities	Current	Change
CRB Index	419.83	0.6%
Gold	4165.58	-0.1%
Copper	14408	0.4%
Oil (WTI futures)	101.41	3.5%
Coal (coking)	267.00	0.4%
Coal (thermal)	154.60	1.1%
Iron Ore	91.60	1.5%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.26	0.00
3 yr bond	4.86	0.01
3 mth bill rate	4.77	0.00
SPI 200	8,826	-0.1%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Neha Sharma
Economist, Westpac Group
P: +61 422 030 322
E: neha.sharma1@westpac.com.au

Financial Markets

Escalating tensions in the Middle East drove oil prices to multi-month highs, adding to concerns that elevated energy costs could complicate the path for monetary policy. Oil markets could face further upward pressure at the open following Ukrainian drone strikes on a major oil terminal in St. Petersburg over the weekend. Elsewhere, AI-related stocks remained under pressure, dragging US equities lower and leaving Asian markets nursing sizeable losses despite a partial recovery on Friday.

- US stocks closed the week lower amid a sharp sell-off in tech shares and a surge in crude oil prices. The Nasdaq led the declines, falling 2.1% on Friday and 4.5% over the week, marking its worst weekly performance since June. The S&P 500 fell 1.1%, while the Dow Jones slipped 0.3%. The deterioration in risk sentiment also saw the VIX jump 21.4%, its largest one-day increase since early June. European equities fared better, with the Euro Stoxx 50 rising 0.6% and the FTSE 100 gaining 0.4%.
- Asian equities regained some ground on Friday. The Nikkei 225 rose 1.4%, while the Hang Seng gained 0.5% and the CSI 300 edged 0.1% higher. The AI-exposed Kospi rebounded 2.1% but remained almost 15% lower over the week, amid concerns over growing competition from China after ChangXin Memory Technologies reported progress on a new memory-cell architecture. The ASX 200 rose 1.0%, its strongest session in 10 weeks. Elsewhere, Indonesia's JCI plunged 8.0% at Friday's open, triggering a 30-minute trading halt after MSCI launched a consultation on a possible downgrade to Indonesia's emerging-market classification.
- US Treasury yields were mixed, with the 2-year yield falling 3bps while the 10-year rose 1bp to 5.07%. Fed Chair Kevin Warsh declined to provide forward guidance which saw markets paring expectations for an October hike, with futures pricing the probability at 17%. European bond markets were comparatively steady, with the 10-year German Bund yield rising 1bp and the equivalent UK gilt yield unchanged.
- Australian bond yields were also little changed, with the 3-year yield rising 3bps and the 10-year up 2bps to 5.23%. In a pre-recorded interview, RBA Assistant Governor Christopher Kent reaffirmed the Bank's view that the A$8.5bn accounting loss recorded last financial year, driven by higher bond yields and an appreciation of the Australian dollar, "does not hurt its operations". Swap markets currently price around a 20% chance of an RBA rate hike in November.
- The US dollar index rose fell 0.2%. The AUD rose against the USD, up 0.7% to 0.6969. Though other USD crosses were more subdued with the yen flat, the euro losing 0.3% and the pound down 0.1%.
- Oil prices surged to a five-month high following reports that Saudi Arabian-led military forces had destroyed ballistic missiles fired at some of the kingdom's major energy hubs, intensifying concerns over potential supply disruptions. Brent crude briefly touched US$110/bbl for the first time since May before closing at US$109.86/bbl. WTI crude rose 3.5% to settle at US$101.41/bbl. Gold was little changed (–0.1%) as easing expectations of a Fed rate hike were offset by the rise in oil prices. Iron ore and copper both closed 0.4% higher.

Today's key data and events

Time	Event	Exp	Prev
8:30	NZ BusinessNZ PSI Sep	–	51.2pts
8:45	NZ Trade Balance Sep	–	-NZ$1349m
10:01	GB Rightmove House Prices Oct	–	0.7%
13:00	CN GDP Q3	4.4%	4.3%
13:00	CN Retail Sales YoY YTD Sep	–	1.1%
13:00	CN Industrial Production YoY YTD Sep	–	5.3%
13:00	CN Fixed Asset Investment YoY YTD Sep	-7.3%	-7.2%
23:30	CA CPI Sep	0.2%	-0.1%
23:30	CA CPI Sep	3.2%	3.0%

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

FOMC Chair Warsh kept to his stated intent since taking up the position to refrain from forward guidance, only reiterating a commitment to price stability during an IMF Q&A event on Friday and stating "I don't believe in saying now what I might do at the meetings that we have in the balance of this year". The other key topic raised was the impact of AI on the economy, Chair Warsh again emphasising that productivity and capacity will increase in the medium term, but today it is demand (investment) that is being impacted. Inflation risks are therefore skewed to the upside near term, but will turn further out. **US industrial production** rose 0.7% in September after a 0.1% gain in August. Manufacturing's 0.3% lift offset a 0.2% decline the month prior. **US import price** growth accelerated in September from 0.5% to 1.1% (8.1%yr). Ex petroleum, prices gained 0.8% in September.

The **Euro Area trade balance** snapped from a downwardly revised surplus of EUR1.4bn (prev 5.0bn) to a deficit of EUR6.8bn in August. In the month, exports fell 1.2% as imports rose 2.0%. The **final estimate for the Euro Area CPI** was in line with the flash estimate for September at 0.6%, 3.8%yr. Annual core inflation was also confirmed at 2.5%yr.

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Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

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